which are being backed up by systems designed to deliver these new and exacting standards.'[38]

By the mid-1990s, with financial sector reforms in all major economies including the US, South Africa, and Australia, specialized housing finance institutions disappeared rapidly with most converting themselves into commercial banks. This transition meant the gradual demise of a century-long tradition of mutually owned institutions in favour of the more familiar concept of stock ownership. As is well known, the Savings and Loan Crisis in the US in the late 1980s created the greatest banking collapse since the Great Depression of 1929, and by 1989 over half of the Savings and Loan institutions had failed. Despite efforts by the Resolution Trust Corporation to reassemble the collapsed banks into a viable series of new institutions, it was commercial banks which emerged as a major source of housing finance. Even the Building Societies in the UK—the last bastion of mutual institutions—suddenly faced a spate of acquisitions and mergers, a consolidation which was followed by conversion into banks in the coming years. As the distinction between classes of financial institutions began to disappear, institutions transformed themselves according to alternative strategic visions. Institutions were no longer defined by specialized asset classes, but what was certain was that service would be more efficient than ever before.

Deepak realized that as financial sector reforms accelerated in the years ahead, the artificial distinctions between markets and institutions that had been developed to exclusively service them would disintegrate, ushering in an era of multi-product competition on both resource mobilization as well as lending. 'The future success of an institution will be based on its ability to attract customers on the basis of the diversity of its range, the efficiency and friendliness of its services and the competitive pricing of its products.'[39]

HDFC has established and nurtured all these elements in preparation of this new market place. Within HDFC, they diversified the range of home ownership related products—various financial mechanisms to acquire, extend, and renovate homes; assistance in locating and choosing homes; and instruments to help save for a home. The home however serves as a gateway to other services once it is acquired—consumer durables, vehicles, insurance, and banking services especially if the customer has been satisfied with the initial service. HDFC chose to extend its product base to